KYC is the process of verifying a customer's identity to assess potential risks to the financial institution. Definition: KYC is the mandatory process of identifying and verifying a client's identity when opening an account and periodically updating this information over time. Purpose: To prevent financial institutions from being used for money laundering, terrorist financing, and other illegal activities, and to help banks better understand their customers and their financial dealings. Core Elements of a KYC Program: Customer Acceptance Policy (CAP): Establishing criteria for who can be accepted as a client. Customer Identification Procedure (CIP) / Due Diligence (CDD): Obtaining and verifying identity information (e.g., photo, address, identity documents for individuals, or legal status/beneficial owners for entities). Risk Management: Categorizing customers based on risk (e.g., low, medium, high) to determine the level of ongoing monitoring required. Monitoring of Transactions: Closely examining transactions to identify and report suspicious activity.